

SK Hynix (000660 KP)

Buy: Sequential earnings expansion set to continue after a robust 1Q

- ◆ Sharp memory price hikes resulted in a robust 1Q, albeit below our bullish estimates from higher bonus provisions
- ◆ Another record OP in 2Q amid soaring server demand, while robust CSP capex is intact from CSP service fee hikes
- ◆ Retain Buy rating and KRW1.8m target price

Robust 1Q growth: 1Q OP was 10% lower than our bullish estimates while broadly in line with Bloomberg consensus on 1) higher provision of annual bonus; 2) lower NAND shipment at -10% q-o-q (vs. our -6%) and lower margins from slightly weaker high density eSSD sales. However, OP was still up 96% q-o-q, at KRW38trn (+405% y-o-y) with KRW53trn sales (+60% q-o-q) on 1) Sharper DRAM blended ASP hikes at 65% q-o-q (vs. HSBCE of 56%) from robust server DRAM; 2) soaring NAND ASP from eSSD. Inferencing activated and agentic AI services are generating more KV caches than expected, while CSPs are piling up general servers to handle such mounting demand. The company said consensus seems overly concerned about software compression and SRAM based LPU – these changes should lead to growth in overall demand as efficiency improvements lower the costs per token, leading to more AI usage.

Another record OP in 2Qe and 2026e: We see ongoing DRAM and NAND price hikes in 2Q, at 28% and 35% q-o-q, leading to another record OP of KRW57trn (+52% q-o-q), with sales of KRW75trn (+42% q-o-q) on: 1) price hikes for HBM3e; 2) robust shipments of SO-CAMM2; 3) soaring eSSD demand for stronger server build-up and ICMS. As the margin gap between commodity DRAM and HBM3e widens, Hynix will raise new HBM3e prices while DRAM content rises to 1.5TB (from 0.6TB) per Vera CPU boost SO-CAMM2 demand, ie, 6% of DRAM demand in 2026. We see 398% 2026e OP growth y-o-y to KRW235trn, with KRW304trn sales (+213% y-o-y).

Server demand exceeds expectation; CSP capex robust: We think: 1) memory cycle is a midpoint similar to the 1990-95 supercycle when office automation led to a 6yr DRAM shortage; 2) AI is diversifying memory demand to SO-CAMM2 and ICMS from HBM to lowering costs per token and boosting AI usage; 3) CSPs will keep aggressive capex as service fees are rising. In particular, server demand should soar as it hosts agentic AI more cost efficiently and consumes less power, leading to more upside in CSP capex in 2027. This will make data centre investment easier due to higher ROIC expectations. We expect greater use of ARM-based low power solutions in general servers, which should boost newly introduced SO-CAMM2 memory.

Retain Buy rating and KRW1.8m TP: Even with a lower 1Q, we think more shipment and better NAND pricing from 2Q should offset the top line even with more costs related with annual bonus provision. Our P/B based TP is KRW1.8m on a target multiple of 2.4x 2027e BVPS. Even at our TP the implied P/E would only be 5x 2027e EPS which we are comfortable with. Downside risks: 1) higher US interest rates as neo-CSPs and Open AI implements investment via financing; 2) aggressive capacity increase expansion at memory makers; 3) the Middle East conflict.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Semiconductors & Equipment

Korea


MAINTAIN BUY
TARGET PRICE (KRW)
1,800,000
PREVIOUS TARGET (KRW)
1,800,000
SHARE PRICE (KRW)
1,223,000
(as of 22 Apr 2026)
UPSIDE/DOWNSIDE
+47.2%

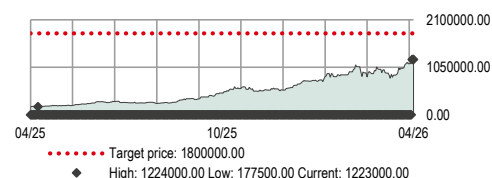
MARKET DATA

Market cap (KRWb)	871,635	Free float	67%
Market cap (USDm)	589,448	BBG	000660 KP
3m ADTV (USDm)	2,918	RIC	000660.KS

FINANCIALS AND RATIOS (KRW)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	62330.20	257077.53	357690.43	370562.66
HSBC EPS (prev)	62330.20	260318.00	356305.13	372787.26
Change (%)	0.0	-1.2	0.4	-0.6
Consensus EPS	56031.11	216672.95	273872.53	284599.06
PE (x)	19.6	4.8	3.4	3.3
Dividend yield (%)	0.2	1.6	2.3	2.5
EV/EBITDA (x)	14.0	2.9	1.7	1.2
ROE (%)	44.2	85.2	59.9	39.6

52-WEEK PRICE (KRW)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: SK Hynix

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (KRWb)				
Revenue	97,147	304,121	422,809	498,357
EBITDA	61,136	258,688	357,091	377,396
Depreciation & amortisation	-13,930	-23,631	-30,697	-39,993
Operating profit/EBIT	47,206	235,057	326,394	337,404
Net interest	-429	2,672	4,055	4,915
PBT	50,466	236,182	328,617	340,443
HSBC PBT	50,466	236,182	328,617	340,443
Taxation	-7,518	-59,045	-82,154	-85,111
Net profit	42,948	177,136	246,462	255,332
HSBC net profit	42,948	177,136	246,462	255,332
Cash flow summary (KRWb)				
Cash flow from operations	53,373	165,222	250,540	269,620
Capex	-27,374	-60,000	-80,000	-90,000
Cash flow from investment	-48,054	-61,964	-82,110	-92,267
Dividends	-1,519	-2,132	-14,221	-19,910
Change in net debt	-21,476	-99,697	-152,822	-156,063
FCF equity	25,999	105,222	170,540	179,620
Balance sheet summary (KRWb)				
Intangible fixed assets	4,049	4,283	4,565	4,895
Tangible fixed assets	77,503	114,586	164,649	215,473
Current assets	69,458	198,322	375,908	559,235
Cash & others	35,255	129,235	279,283	433,074
Total assets	176,108	343,756	573,249	809,390
Operating liabilities	33,193	31,706	31,731	34,723
Gross debt	22,248	16,530	13,757	11,484
Net debt	-13,007	-112,704	-265,526	-421,589
Shareholders' funds	120,516	295,369	527,610	763,032
Invested capital	82,562	156,250	234,108	311,805

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	46.8	213.1	39.0	17.9
EBITDA	69.6	323.1	38.0	5.7
Operating profit	101.2	397.9	38.9	3.4
PBT	111.3	368.0	39.1	3.6
HSBC EPS	116.9	312.4	39.1	3.6
Ratios (%)				
Revenue/IC (x)	1.3	2.5	2.2	1.8
ROIC	53.0	147.6	125.4	92.7
ROE	44.2	85.2	59.9	39.6
ROA	29.0	68.1	53.8	36.9
EBITDA margin	62.9	85.1	84.5	75.7
Operating profit margin	48.6	77.3	77.2	67.7
EBITDA/net interest (x)	142.4			
Net debt/equity	-10.8	-38.1	-50.3	-55.2
Net debt/EBITDA (x)	-0.2	-0.4	-0.7	-1.1
CF from operations/net debt				
Per share data (KRW)				
EPS Rep (diluted)	62330.20	257077.53	357690.43	370562.66
HSBC EPS (diluted)	62330.20	257077.53	357690.43	370562.66
DPS	3000.00	20000.00	28000.00	30000.00
Book value	169592.12	415384.24	741989.77	1073068.62

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	8.8	2.5	1.4	0.9
EV/EBITDA	14.0	2.9	1.7	1.2
EV/IC	10.4	4.9	2.6	1.4
PE*	19.6	4.8	3.4	3.3
PB	7.2	2.9	1.6	1.1
FCF yield (%)	3.0	12.1	19.6	20.6
Dividend yield (%)	0.2	1.6	2.3	2.5

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2026e
GHG emission intensity*	156.1	No. of board members	9
Energy intensity*	612.0	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	22.2
Social Indicators		Board members independence (%)	55.6
12/2024a			
Employee costs as % of revenues	2.3		
Employee turnover (%)	1.3		
Diversity policy	Yes		

Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (KRW)	1223000.00	Free float	67%
Target price (KRW)	1800000.00	Sector	Semiconductors
RIC (Equity)	000660.KS	Country/Region	Korea
Bloomberg (Equity)	000660 KP	Analyst	Ricky Seo
Market cap (USDm)	589,448	Contact	+82 2 3706 8777

Price relative



Source: HSBC

Note: Priced at close of 22 Apr 2026

Exhibit 1. 1Q26 earnings review

(KRWbn)	Actual	HSBCe	Cons	HSBCe Diff	Cons Diff	4Q25	q-o-q	1Q25	y-o-y	2Q26e	q-o-q
Sales	52,580	51,903	53,695	1%	-2%	32,827	60%	17,639	198%	74,665	42%
OP	37,610	41,563	38,218	-10%	-2%	19,171	96%	7,441	405%	57,071	52%
OPM	72%	80%	71%	-9%pt	0%pt	58%	13%pt	42%	29%pt	83%	12%pt

Source: Bloomberg consensus, Company data, HSBC estimates

Exhibit 2. Key assumption comparison: Previous HSBC estimates vs actual for Hynix

1Q26 results	Previous HSBC estimates	Actual Results
1. DRAM		
Bit growth (q-o-q)	Down 1%	Flattish
ASP (q-o-q)	up 56%	Up mid 60%
Margin	86%	
2. NAND		
Bit growth (q-o-q)	Down 6%	Down 10%
ASP (q-o-q)	up 80%	Up mid 70%
Margin	65%	
3. OP Margin	80%	72%
4. Key guidance	Previous 2Q26e and 2026e	2Q26e and 2026e
DRAM bit		
2Q26e q-o-q	Up 6%	High single digit % increase
2026e y-o-y	Up 19%	NA
NAND bit		
2Q26e q-o-q	Up 4%	Mid-teens% increase
2026e y-o-y	Up 22%	NA
Capex		
2026e	KRW60trn (+119% y-o-y)	Increase significantly compared to last year

Source: Company data, HSBC estimates

Exhibit 3. Changes to our forecasts

(KRWbn)	New			Old			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	304,121	422,809	498,357	285,051	389,563	456,715	7%	9%	9%
DRAM	231,319	324,058	389,958	215,307	300,107	357,932	7%	8%	9%
NAND	72,802	98,751	108,399	69,744	89,456	98,783	4%	10%	10%
OP	235,057	326,394	337,404	238,016	325,149	339,520	-1%	0%	-1%
DRAM	190,132	264,181	282,976	189,769	261,907	281,986	0%	1%	0%
NAND	45,075	62,373	54,588	48,403	63,401	57,694	-7%	-2%	-5%
OPM	77%	77%	68%	83%	83%	74%	-6%pt	-6%pt	-7%pt
DRAM	82%	82%	73%	88%	87%	79%	-6%pt	-6%pt	-6%pt
NAND	62%	63%	50%	69%	71%	58%	-7%pt	-8%pt	-8%pt

Source: HSBC estimates. Note: With this report, we introduce our 2028 estimates

Exhibit 4. HSBC estimates vs consensus

(KRWbn)	HSBCe			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	304,121	422,809	498,357	308,637	420,108	448,622	-1%	1%	11%
OP	235,057	326,394	337,404	235,158	325,107	333,034	0%	0%	1%
OPM	77%	77%	68%	76%	77%	74%	1%pt	0%pt	-7%pt

Source: Bloomberg consensus, HSBC estimates

Exhibit 5. One-year contract price trend of AI GPUs (H100) for AI service providers

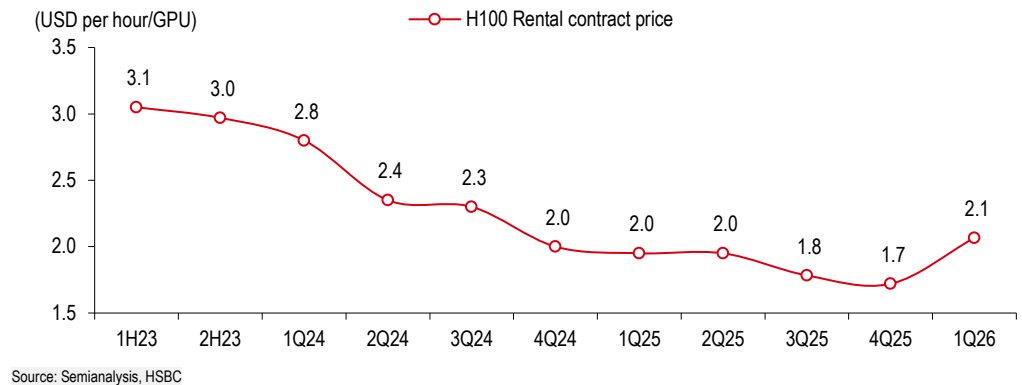


Exhibit 6. Scenario on TurboQuant impact on memory demand – case by % of memory used for KV cache

Scenario (2027e)	HBM demand impacted (bn Gb)	% of total DRAM demand
40% of total memory used for KV Cache	11	2.5%
50% of total memory used for KV Cache	14	3.2%
60% of total memory used for KV Cache	16	3.8%

Source: HSBC estimates

Exhibit 7. Inference steps and server computing process divided by server vs AI server

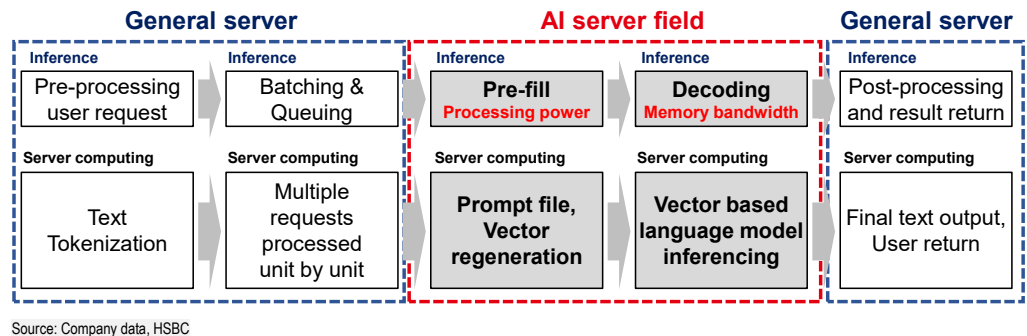


Exhibit 8. Conceptual structure of the new Vera-Rubin server that uses ICMS offloading through Bluefield-4

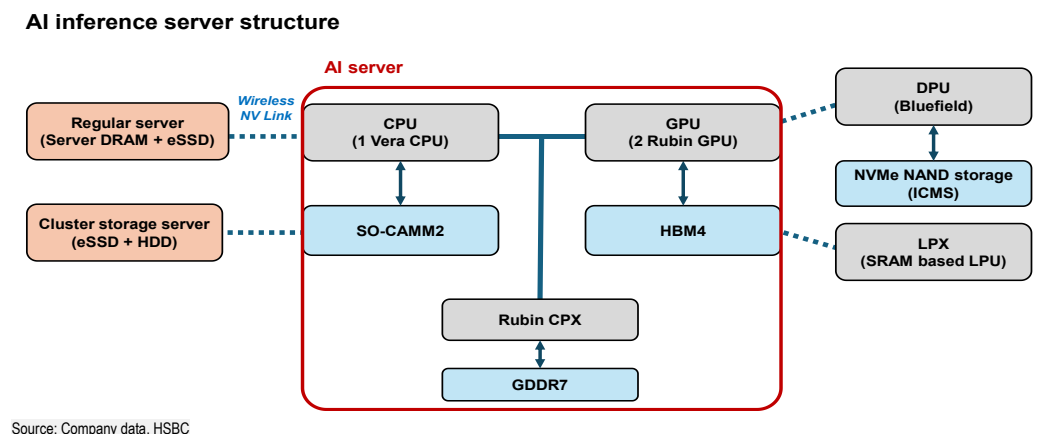


Exhibit 9. KV cache memory hierarchy, from on-GPU memory (G1) to shared storage (G4)

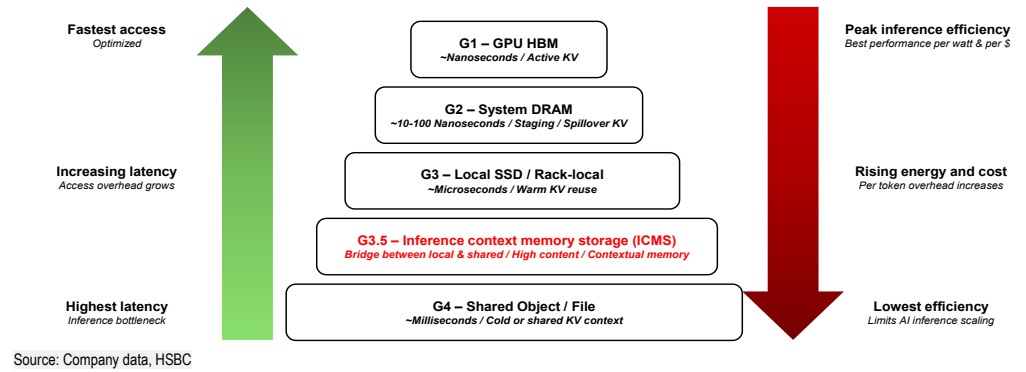


Exhibit 10. Hynix share price and memory OP trend vs DRAM q-o-q price change

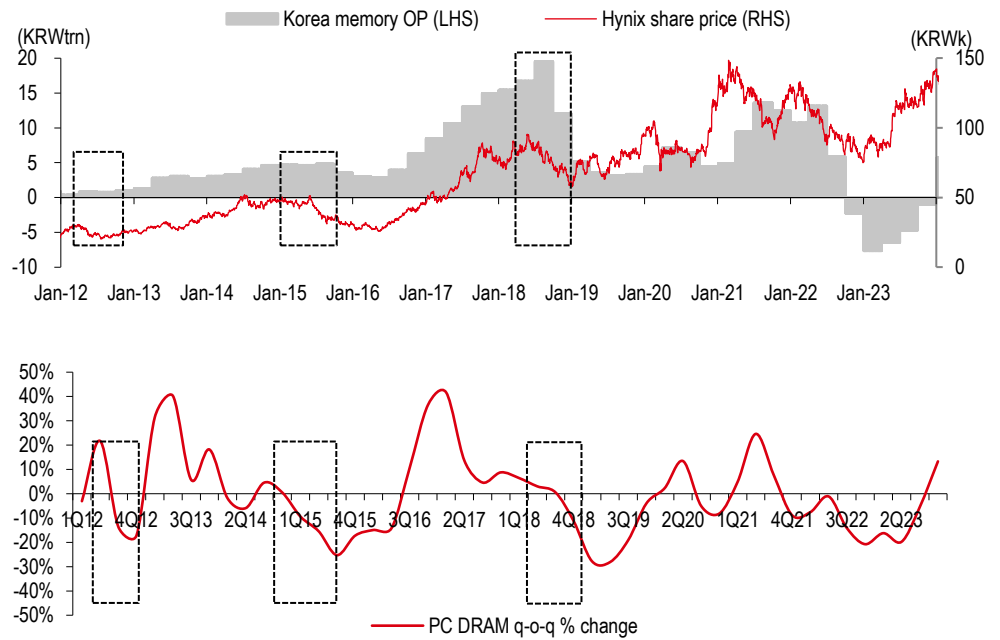


Exhibit 11. Big 4 cloud service provider capex % of operating cash flow trend

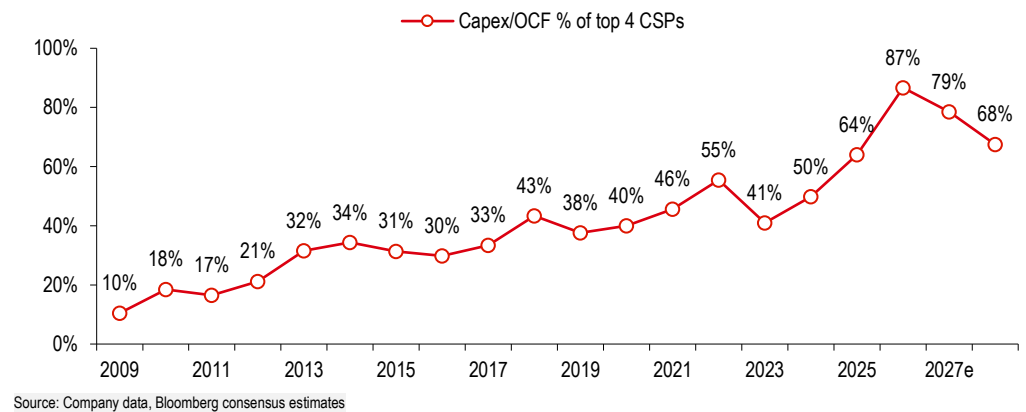
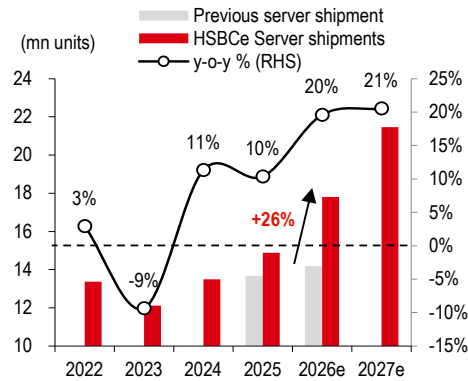
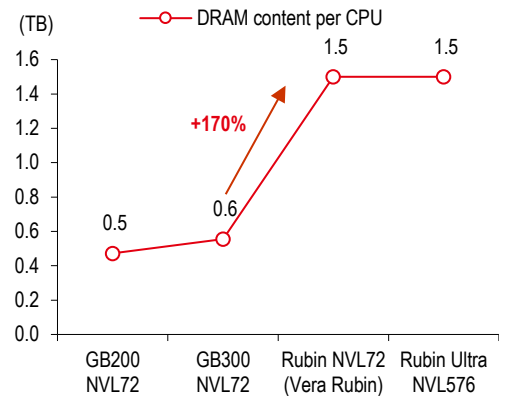


Exhibit 12. HSBC global tech team recently revised up server shipments, expecting 20%/21% y-o-y growth in 2026/27e



Source: TrendForce, HSBC estimates

Exhibit 13. Accelerating DRAM content growth in the latest Vera Rubin servers



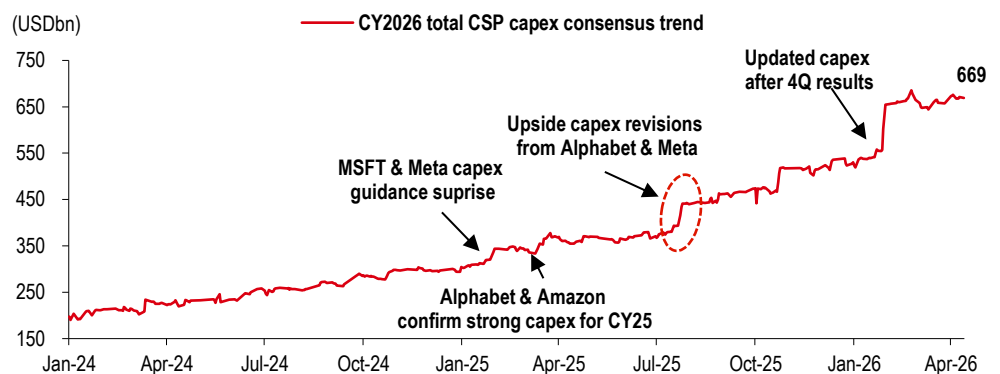
Source: Company data, HSBC estimates

Exhibit 14. Recent bond issues from global CSPs

Company	Recent issuance size	Date	Maturities
Amazon	USD54bn global issue (USD, EUR)	Mar 10, 2026	USD bond 2 to 50 years, EUR bond 2 to 38 years
Alphabet (Google)	USD31.5bn global issue (USD, GBP, CHF)	Feb 10, 2026	3 to 25 years (CHF), up to 2066 (USD) and 100 years (GBP)
Amazon	USD15bn	Nov 17, 2025	Multiple tranches including 40 years
Meta platforms	USD30bn	Nov 3, 2025	5 to 40 years

Source: Company data

Exhibit 15. Capex consensus of key global CSPs (US & Chinese) for 2026; continued upside revisions; expected at USD669bn (+66% y-o-y)



Source: Company data, Bloomberg, HSBC.

Exhibit 16. US cloud service provider (CSP) capex; robust growth to continue at key US CSPs, up 63% in 2026e

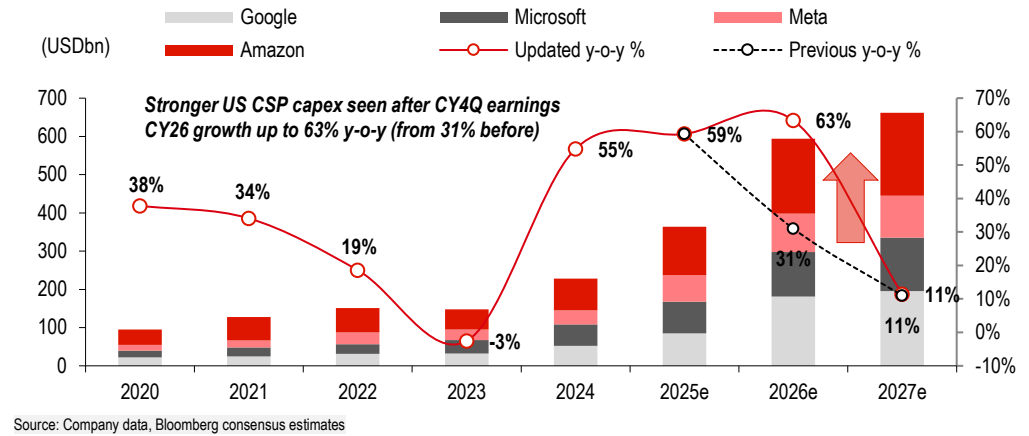


Exhibit 17. AI server shipments to grow 28% y-o-y in 2026e

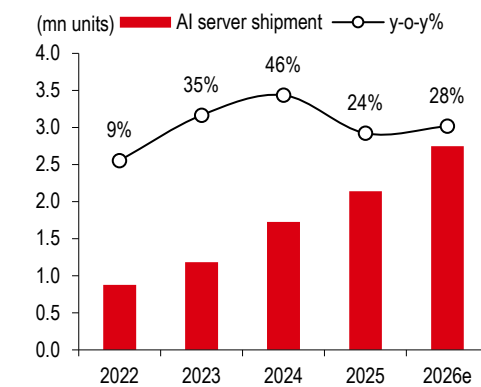


Exhibit 18. HBM content to increase significantly in the Rubin Ultra

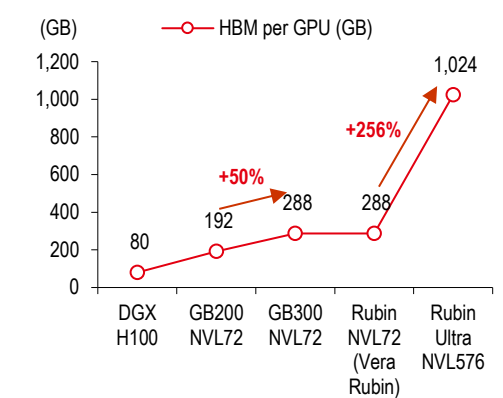


Exhibit 19. Average server DRAM content per unit; strong growth of 17% in 2026-27e

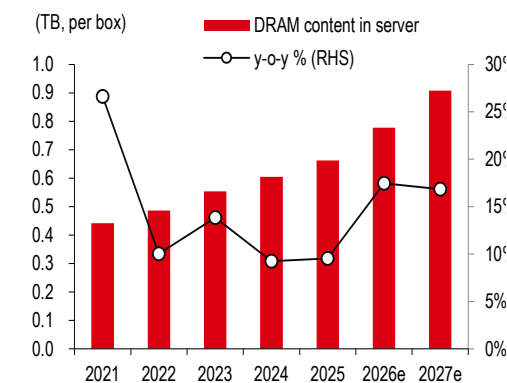


Exhibit 20. Bill of materials cost estimates for the GB300 NVL72 server system

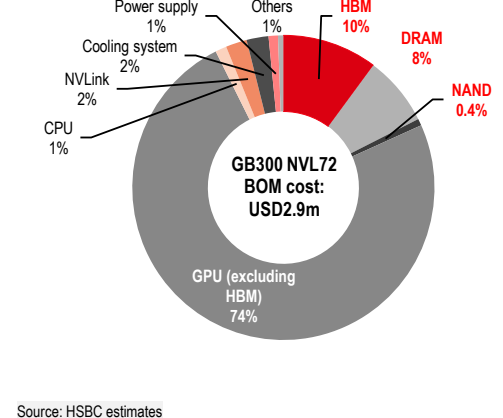
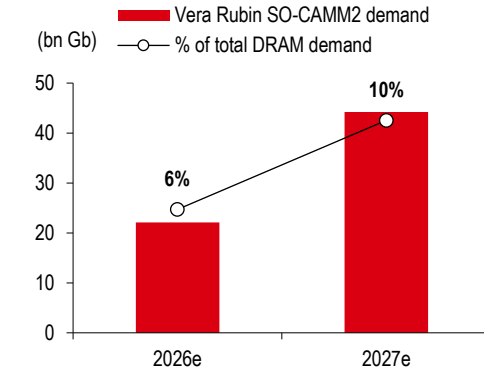
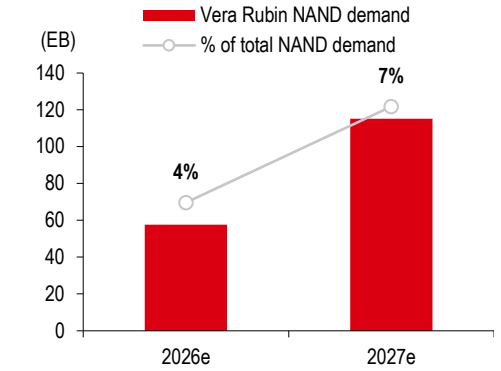


Exhibit 21. SO-CAMM2 demand estimates from the Vera Rubin server platform; 6-10% of total DRAM demand



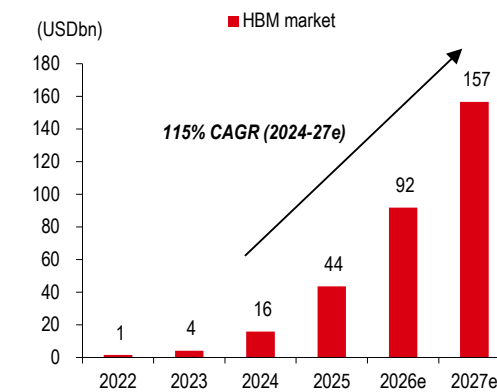
Source: HSBC estimates

Exhibit 22. NAND demand estimates from the Vera Rubin server platform; 4-7% of total NAND, opportunities from ICMS



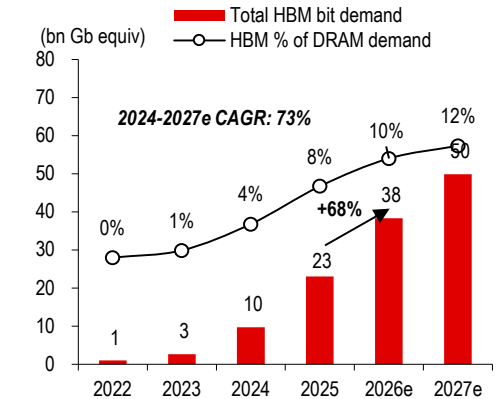
Source: HSBC estimates

Exhibit 23. HBM market growth set to reach USD157bn by 2027e



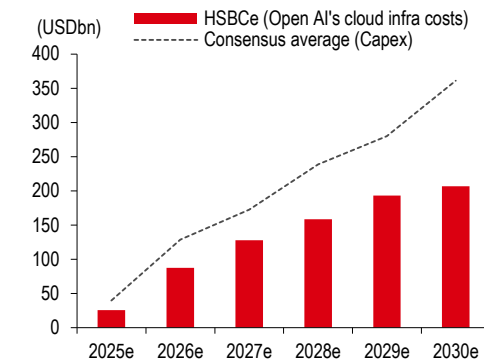
Source: Company data, HSBC estimates

Exhibit 24. HBM bit demand growth: CAGR of 73% in 2024-27e



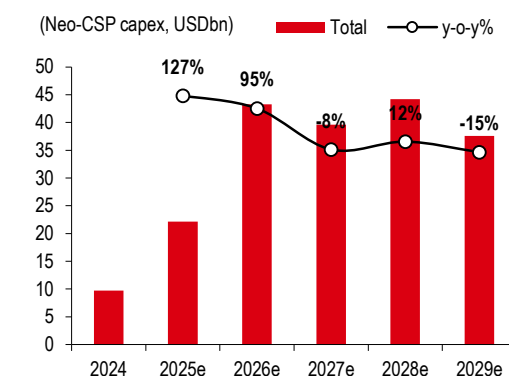
Source: Company data, HSBC estimates

Exhibit 25. Open AI's cloud infra costs continue to grow



Source: HSBC estimates (see: [Global tech – Open AI: Commitments vs cash flows revisited](#), 24 Nov 2025, by Nicolas Cote-Colisson), Bloomberg consensus estimates

Exhibit 26. Capex estimates of key neo-CSPs; strong growth in 2026e



Source: Company data, Bloomberg consensus estimates.

Exhibit 27. Historical upcycles of the DRAM market by key events

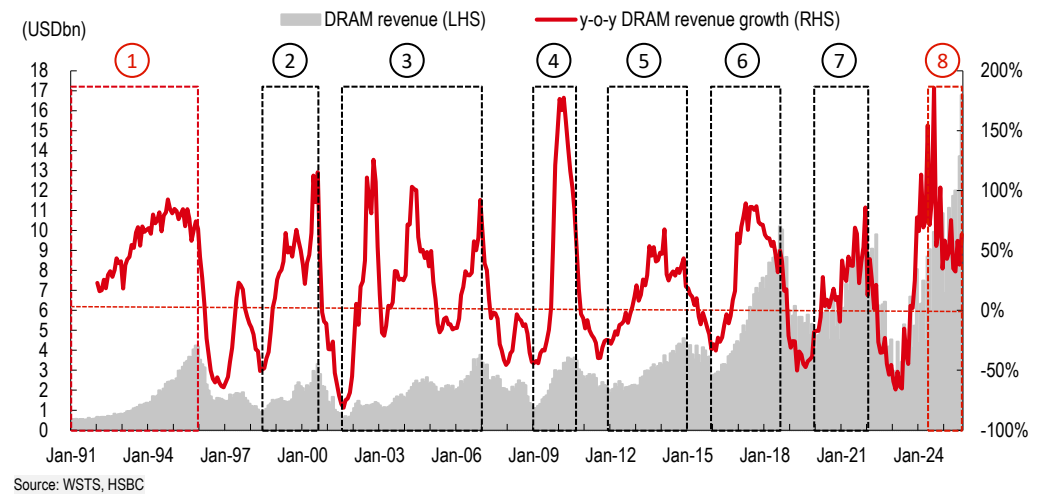


Exhibit 28. Details of historical upcycles of the DRAM market, by key events

Upcycles	Details
(1) 1990-1995	Personal computer (PC) boom, widespread adoption of PC per household, leading to growth in DRAM demand
(2) 1998-2000	Strong replacement demand from the 'Y2K' crisis, leading to even stronger PC replacement investment
(3) 2002-2006	Demand for downloadable services spiked with the help of slim notebook demand from LCD, release of iPod, and development of legacy cell phones
(4) 2009-2010	Launch of the world's first smartphone, and start of a new era in mobile application demand
(5) 2012-2015	Prolonged upcycle due to sudden supply reduction from major fire incident in SK Hynix's China facilities
(6) 2016-2018	Widespread adoption of streaming services leading to accelerated investment in cloud infrastructure and digital transition
(7) 2020-2022	Unprecedented demand boom from 'WFH' trend causing more demand for PC, Chromebooks, and Tablet computers amid the global pandemic
(8) 1H24-current	Gen AI application demand growth, core of AI is moving from training (GPU) to inferencing (memory)

Source: HSBC

Exhibit 29. DRAM super cycle (1990-95) as the introduction of Windows 3.0 boosted the DRAM market 6x to USD41bn in 1995 from USD7bn in 1990

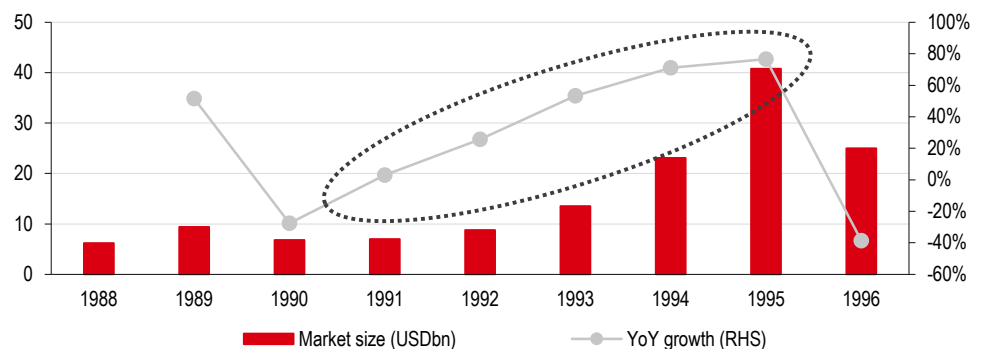
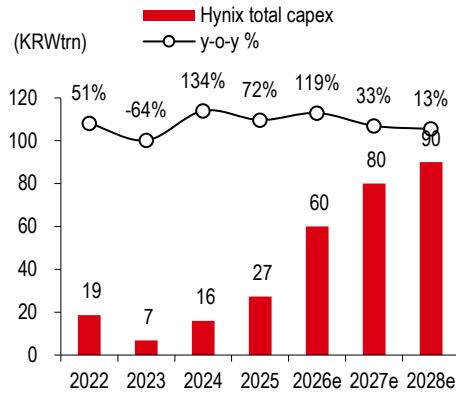
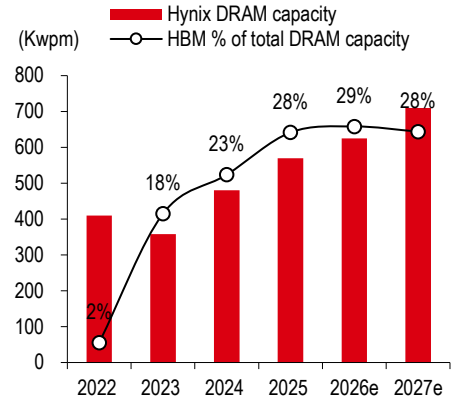


Exhibit 30. We expect strong capex growth at Hynix, up 119% y-o-y in 2026e



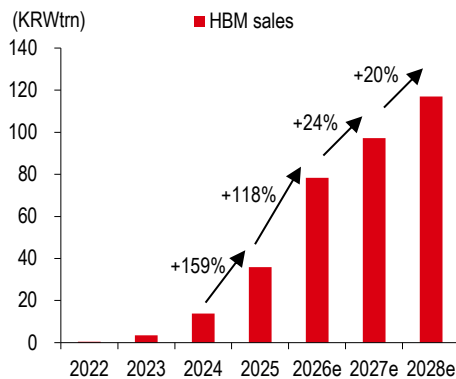
Source: Company data, HSBC estimates

Exhibit 31. Hynix plans to continue to expand its HBM capacity, reaching 200k by end-2027e



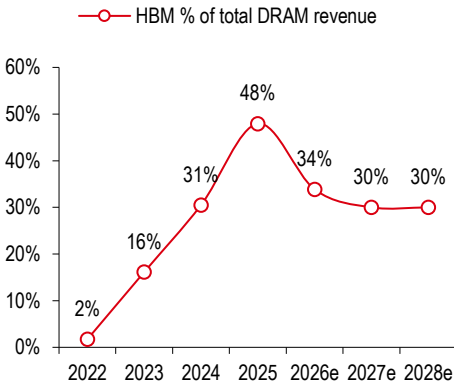
Source: Company data, HSBC estimates

Exhibit 32. HBM sales should continue to grow at Hynix...



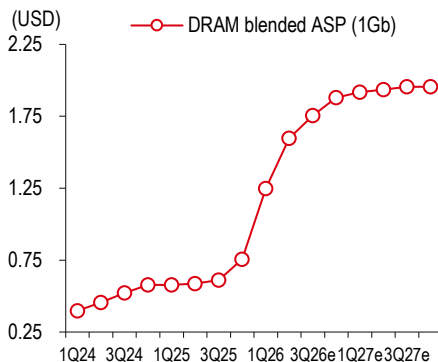
Source: Company data, HSBC estimates.

Exhibit 33. ...while the total portion of DRAM revenue declines as commodity prices increase



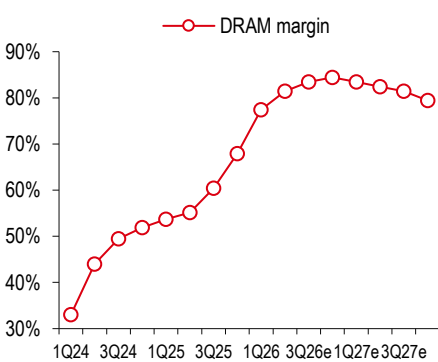
Source: Company data, HSBC estimates. Note: HBM sales portion are calculated as a percentage of total DRAM sales.

Exhibit 34. Hynix's DRAM ASP to continue to rise from robust commodity DRAM pricing...



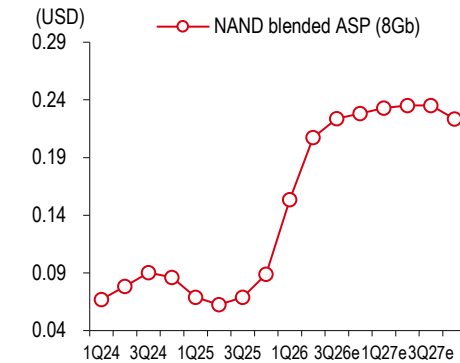
Source: Company data, HSBC estimates

Exhibit 35. ...which should lead to stronger DRAM margins



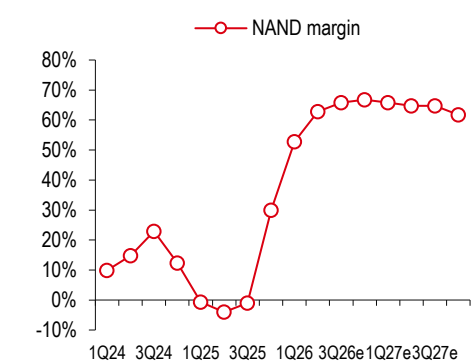
Source: Company data, HSBC estimates

Exhibit 36. NAND price recovery should continue to accelerate in 2026e



Source: Company data, HSBC estimates

Exhibit 37. ...leading to better margins in 2026e



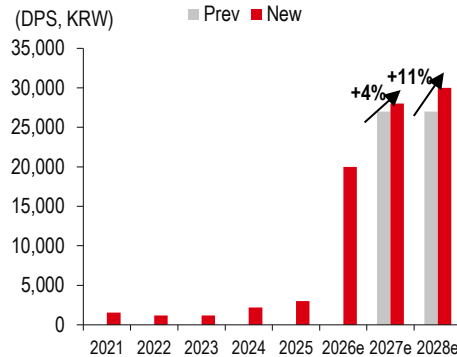
Source: Company data, HSBC estimates

Exhibit 38. Quarterly earnings and key assumptions

	1Q26	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025	2026e	2027e	2028e
Sales (KRWbn)	52,580	74,665	84,629	92,248	92,713	99,854	110,261	119,981	97,147	304,121	422,809	498,357
Growth (%) q-o-q, y-o-y	60	42	13	9	1	8	10	9	47	213	39	18
DRAM	40,752	56,229	64,294	70,044	70,108	75,658	84,567	93,724	74,909	231,319	324,058	389,958
NAND Flash & others	11,828	18,435	20,335	22,204	22,605	24,195	25,694	26,257	22,241	72,802	98,751	108,399
Sales breakdown (%)												
DRAM	78	75	76	76	76	76	77	78	77	76	77	78
NAND Flash & others	22	25	24	24	24	24	23	22	23	24	23	22
OP (KRWbn)	37,610	57,071	66,715	73,661	73,059	77,742	85,211	90,382	47,206	235,057	326,394	337,404
Growth (%) q-o-q, y-o-y	96	52	17	10	(1)	6	10	6	101	398	39	3
DRAM	31,557	45,790	53,644	59,142	58,495	62,369	68,867	74,450	45,283	190,132	264,181	282,976
NAND Flash	6,083	11,321	13,112	14,559	14,605	15,413	16,383	15,972	1,998	45,075	62,373	54,588
OPM (%)	72	76	79	80	79	78	77	75	49	77	77	68
DRAM	77	81	83	84	83	82	81	79	60	82	82	73
NAND Flash	53	63	66	67	66	65	65	62	9	62	63	50
EBITDA	41,339	62,873	73,291	81,185	79,791	84,991	93,216	99,093	61,136	258,688	357,091	377,396
Depreciation & amortization	3,729	5,802	6,576	7,524	6,731	7,250	8,005	8,711	13,930	23,631	30,697	39,993
EBITDA margin (%)	79	84	87	88	86	85	85	83	63	85	84	76
Key assumptions												
DRAM shipment (m units, 1Gb)	23,008	24,802	26,528	27,611	27,094	29,165	32,519	36,314	83,105	101,949	125,093	157,243
Growth q-o-q, y-o-y	0	8	7	4	(2)	8	12	12	23	23	23	26
Blended DRAM ASP (USD, 1Gb)	1.2	1.6	1.8	1.9	1.9	1.9	2.0	2.0	0.6	1.6	1.9	1.9
Growth q-o-q, y-o-y	65	28	10	7	2	1	1	0	29	156	19	(4)
NAND shipment (m units, 8Gb)	52,876	61,278	64,534	70,736	70,627	75,495	80,852	87,660	200,023	249,425	314,634	412,582
Growth q-o-q, y-o-y	(11)	16	5	10	(0)	7	7	8	13	25	26	31
Blended NAND ASP (USD, 8Gb)	0.15	0.21	0.22	0.23	0.23	0.24	0.24	0.22	0.1	0.2	0.2	0.2
Growth q-o-q, y-o-y	73	35	8	2	2	1	0	(5)	(8)	182	12	(16)

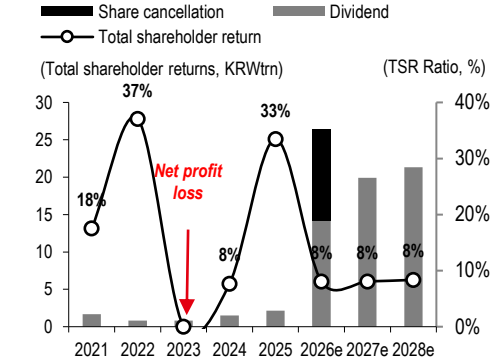
Note: TTB = Turn-to-black (Turn to profit). Source: Company data, HSBC estimates

Exhibit 39. We raise our DPS estimates as we expect better shareholder returns



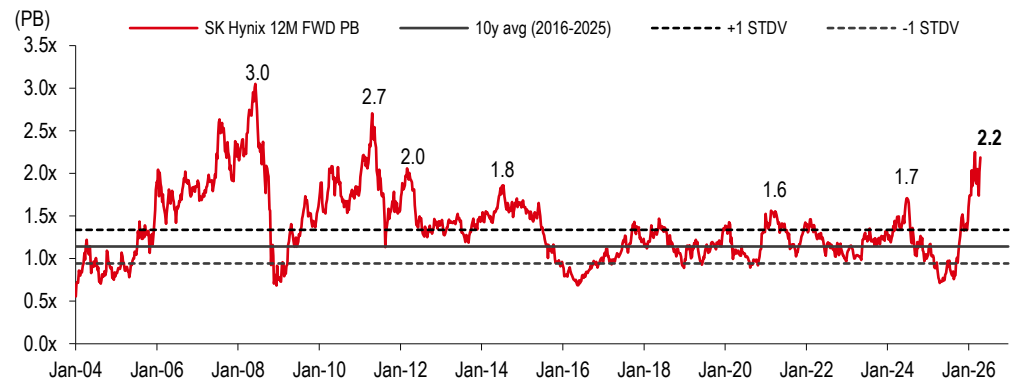
Source: Company data, HSBC estimates

Exhibit 40. Total shareholder return trends at Hynix



Source: Company data, HSBC estimates. Note: Total shareholder return = (Dividends+Share cancellation)/Net income

Exhibit 41. SK Hynix: 12-month forward P/B



Source: Bloomberg, HSBC estimates

Exhibit 42. Historical P/B multiple, DRAM OPM and ROE trend

PB(x)	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	Ref. avg
High	2.8	2.5	2.1	2.8	2.2	2.0	2.1	1.7	1.4	1.9	1.4	1.4	1.6	1.7	1.5	1.9	2.3	3.8	-	-	2.4
Avg	1.9	1.7	1.7	1.9	1.8	1.6	1.6	1.3	1.0	1.3	1.1	1.1	1.2	1.4	1.1	1.4	1.7	1.8	-	-	1.8
Low	0.5	0.7	1.5	1.2	1.4	1.3	1.4	1.0	0.8	1.0	0.9	0.8	0.9	1.0	0.8	0.9	1.2	1.0	-	-	1.2
DRAM OPM	-34%	5%	31%	-4%	-1%	29%	40%	38%	27%	55%	62%	29%	28%	40%	33%	1%	46%	60%	82%	82%	
ROE	-93%	-6%	33%	-1%	-2%	25%	27%	22%	13%	37%	39%	4%	10%	17%	4%	-16%	31%	44%	85%	60%	

Note: Reference period: Historical high average during upcycle of 2009-12 which is similar to today's supply disciplined and new technology such as the mass adoption of the smartphone being similar to the wide-spread adoption of AI in our daily lives. Source: Company data, HSBC estimates

Exhibit 43. Scenario analysis: sensitivity of earnings estimates to DRAM ASP assumptions

Period	1Q26	2Q26e	3Q26e	4Q26e	2026e	2027e
DRAM ASP q-o-q/y-o-y change						
Bull 2		48%	30%	27%	236%	47%
Bull 1		38%	20%	17%	196%	33%
Base	65%	28%	10%	7%	156%	19%
Bear		18%	0%	-3%	121%	5%
Total OP (KRWtrn)						
Bull 2		64.2	86.4	110.4	298.7	490.7
Bull 1		60.6	76.2	90.6	265.0	402.0
Base	37.6	57.1	66.7	73.7	235.1	326.4
Bear		51.9	54.8	54.7	199.0	240.8
% Change						
Bull 2		13%	29%	50%	27%	50%
Bull 1		6%	14%	23%	13%	23%
Base	0%	0%	0%	0%	0%	0%
Bear		-9%	-18%	-26%	-15%	-26%

Source: Company data, HSBC estimates

Exhibit 44. Sensitivity of valuation (KRW per share) to DRAM ASP and reference multiple assumptions; based on 2027e BVPS

Valuation based on DRAM ASP assumptions (KRW)	Reference P/B multiple		
	Bear case 2.0x	Base case 2.4x	Bull case 2.8x
Bull 2			2,800,000
Bull 1			2,400,000
Base		1,800,000	
Bear	1,200,000		

Source: HSBC estimates

Valuation and risks

	Valuation	Risks to our view
SK Hynix 000660 KP Buy	Maintain Buy with unchanged TP of KRW1.80m. We continue to value the stock on a target P/B multiple. Factoring in the actual 1Q results and stronger bit growth, we adjust our 2026/27/28e OP estimates by -1%/0%/-1%. We derive an unchanged TP of KRW1.8m by applying our unchanged target P/B multiple of 2.4x (the historical high average during 2009-12, which marked the smartphone-driven memory boom, a structural demand inflection much like today's AI-led memory demand surge) to our updated 2027e BVPS of KRW741,990 (from 2027e BVPS of KRW743,787), and round by KRW50,000. Our new target price implies c47.2% upside and we therefore retain our Buy rating. We calculate a fair value target price of EUR1,074 (unchanged) for the GDR listed on the Frankfurt stock exchange (HY9H GR, EUR742.0) based on our local share target price using a EUR/KRW exchange rate of 1,676 and a GDR to Korea listed share conversion ratio of 1-to-1. We calculate a fair value target price of USD1,268 (unchanged) for the GDR listed on the Luxembourg stock exchange (HYXS LX, USD870.0) based on our local share target price using a USD/KRW exchange rate of 1,420 and a GDR to Korea listed share conversion ratio of 1-to-1.	Downside risks: 1) Higher US interest rates as neo-CSPs and Open AI implement investment through financing; 2) more aggressive capacity expansion at memory makers; 3) KRW appreciation, leading to weaker earnings and margin pressure.

Priced at 22 April 2026
Source: HSBC estimates

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

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For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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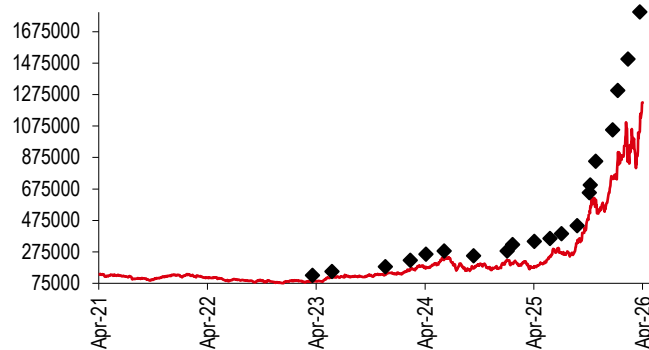
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

SK Hynix (000660.KS) share price performance KRW Vs HSBC rating history



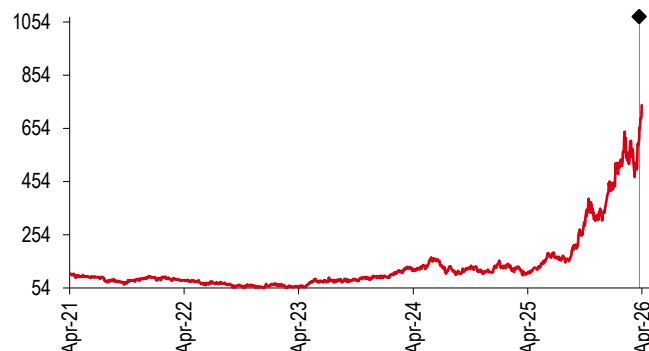
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	26 Nov 2020	Ricky Seo
Target price	Value	Date	Analyst
Price 1	125000	10 Apr 2023	Ricky Seo
Price 2	150000	15 Jun 2023	Ricky Seo
Price 3	180000	11 Dec 2023	Ricky Seo
Price 4	220000	04 Mar 2024	Ricky Seo
Price 5	260000	25 Apr 2024	Ricky Seo
Price 6	280000	25 Jun 2024	Ricky Seo
Price 7	250000	02 Oct 2024	Ricky Seo
Price 8	280000	23 Jan 2025	Ricky Seo
Price 9	320000	10 Feb 2025	Ricky Seo
Price 10	340000	24 Apr 2025	Ricky Seo
Price 11	360000	16 Jun 2025	Ricky Seo
Price 12	390000	24 Jul 2025	Ricky Seo
Price 13	440000	15 Sep 2025	Ricky Seo
Price 14	650000	26 Oct 2025	Ricky Seo
Price 15	700000	29 Oct 2025	Ricky Seo
Price 16	850000	16 Nov 2025	Ricky Seo
Price 17	1050000	12 Jan 2026	Ricky Seo
Price 18	1300000	29 Jan 2026	Ricky Seo
Price 19	1500000	05 Mar 2026	Ricky Seo
Price 20	1800000	13 Apr 2026	Ricky Seo

Source: HSBC

SK Hynix (HY9Hy.F) share price performance EUR Vs HSBC rating history

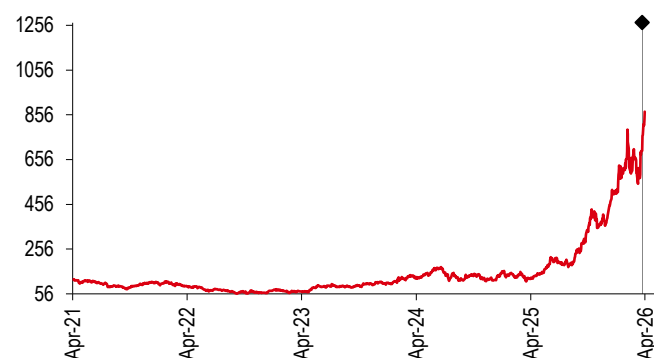


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1074	13 Apr 2026	Ricky Seo

Source: HSBC

SK Hynix (HYNIX.LU) share price performance USD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1268	13 Apr 2026	Ricky Seo

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
SK HYNIX	000660.KS	1225000.00	23 Apr 2026	1, 5, 7

Source: HSBC

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